Type MS · Income statement from incomplete records

Answer 1 of 5 · Question 2 part b · 12 marks

2023 JAN · Paper 02 · extract 1 of 3 · find part b in this mark scheme extract

2(a)(i)	**Award marks as indicated.** $178 750 **(3) W** **W** **$** 167 650 (21 400) **(1)** 32 500 **(1)** 178 750 **(1of)**	**(3)**

Question number	Answer	Mark
2(a)(ii)	**Award marks as indicated.** $90 000 **(3) W** **W** **$** 92 750 (15 500) **(1)** 12 750 **(1)** 90 000 **(1of)**	**(3)**

Type MS · Income statement from incomplete records

Answer 1 of 5 · Question 2 part b · 12 marks

2023 JAN · Paper 02 · extract 2 of 3 · find part b in this mark scheme extract

Question number	Answer	Mark
2(b)	**Award marks as indicated with labels.**	(12)

Yamini
Income statement for the year ended 30 September 2022

	$	$	
Revenue		178 750	**(1of)**
Cost of sales			
Opening inventory	25 750		**(1)**
Purchases	90 000		**(1of)**
Closing inventory	(27 460)		**(1)**
		(88 290)	**(1)**
Gross profit		90 460	**(1of)**
Other income			
Interest received		110	**(1)**
		90 570	
Expenses			
Depreciation charge	8 000		**(1)**
Office expenses	26 350		**(1)**
Wages	33 500		**(1)**
		(67 850)	**(1of)**
Profit for the year		22 720	**(1of)**

Question number	Answer	Mark
2(c)	**Award marks as indicated up to a maximum of 2 marks.** Consistency **(1)** Prudence **(1)** Accruals/matching **(1)** Materiality **(1)** Money measurement **(1)** Business entity **(1)** **Accept any other appropriate responses.**	**(2)**

Type MS · Income statement from incomplete records

Answer 1 of 5 · Question 2 part b · 12 marks

2023 JAN · Paper 02 · extract 3 of 3 · find part b in this mark scheme extract

Question number	Answer	Mark
2(d)	**Award up to 4 marks for discussion on both ratios and the final 1 mark for a conclusion related to the scenario.** **Sample answer.** The current ratio has increased in 2022 , meaning it will be able to pay short-term debts as they become due **(1)**. However, the business is not making efficient use of its current assets **(1)**. The liquid (acid test) ratio has worsened in 2022, meaning the business will have difficulty paying short-term debts without selling inventory **(1).** This could result in suppliers refusing to make further supplies to the business **(1)**. Therefore the business's short-term liquidity has worsened **(1)**. **Accept any other appropriate responses.**	**(5)**

(Total for Question 2 = 25 marks)

Type MS · Income statement from incomplete records

Answer 2 of 5 · Question 1 part c · 6 marks

2019 JUN · Paper 02 (regional R) · extract 1 of 3 · find part c in this mark scheme extract

1(a) **Award marks as indicated**

Stakeholder	Interest
Suppliers **(1)**	Payment of outstanding amounts **(1)**
Providers of external finance **(1)**	To ensure that repayments will be made **(1)**
Customers **(1)**	To check on continuity of supply **(1)**
Government **(1)**	To monitor profit for tax purposes **(1)**
Investors **(1)**	To check the security of their investment **(1)**
Owner **(1)**	To check whether the business is making profits **(1)**

Accept any other appropriate responses. **(4)**

Question number	Answer	Mark
1(b)(i)	**Award marks as indicated**	

$53 800 **(6)** W

W

	$
47 600 **(1)**	
4 400 **(1)**	
(3 800) **(1)**	
3 600 **(1)**	
2 000 **(1)**	
53 800 **(1of)**	

OR

$53 800 **(6)** W

W

Balance b/d	3 800 **(1)**	Cash book	47 600 **(1)**
Credit sales	48 200	Balance c/d	4 400 **(1)**
	52 000		52 000

$48 200 + $3 600 **(1)** + 2 000 **(1)** = $53 800 **(1of)** **(6)**

Type MS · Income statement from incomplete records

Answer 2 of 5 · Question 1 part c · 6 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 3 · find part c in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(b)(ii)</td><td>
Award marks as indicated

$37 900 (4) W
W
$
38 200 (1)
1 600 (1)
(1 900) (1)
37 900 (1of)

OR

$37 900 (4) W
W
<table>
<tr><td>Cash book</td><td>38 200 (1)</td><td>Balance b/d</td><td>1 900 (1)</td></tr>
<tr><td>Balance c/d</td><td>1 600 (1)</td><td>Purchases</td><td>37 900 (1of)</td></tr>
<tr><td></td><td>39 800</td><td></td><td>39 800</td></tr>
</table>
</td><td>(4)</td></tr>
</table>

Type MS · Income statement from incomplete records

Answer 2 of 5 · Question 1 part c · 6 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 3 · find part c in this mark scheme extract

Question number	Answer	Mark
1(c)	**Award marks as shown.** **Award 1 mark for all correct labels.** **Abel** **Income statement for the year ended 31 March 2019**	**(6)**

	$	$
Revenue		53 800 **(1of)**
Cost of sales		
Opening inventory	8 600 **(1)**	
Purchases	37 900**(1of)**	
	46 500	
Closing inventory	(9 000) **(1)**	
		(37 500)
Gross profit		16 300 **(1of)**

Question number	Answer	Mark
1(d)	**Award up to 4 marks for comments on the change in liquidity and 1 mark for overall evaluation.** **Sample answer** Over the year liquidity has deteriorated **(1)** though both ratios are still satisfactory **(1).** Current (working capital) ratio indicates that the business was able to pay off its short-term liabilities in both years **(1).** Liquid (acid test) ratio indicates that the business may have difficulty paying off its immediate debts without having to sell inventory **(1).** Abel must take appropriate steps to improve his liquidity **(1).**	**(5)**

(TOTAL FOR QUESTION 1 = 25 marks)

Type MS · Income statement from incomplete records

Answer 3 of 5 · Question 1 part b · 6 marks

2020 JAN · Paper 02 · extract 1 of 2 · find part b in this mark scheme extract

1(a)	**Award marks as indicated.** $68 400 **(3) W** **W** $109 100 **(1)**-$40 700 **(1)** = $68 400 **(1of)**	**(3)**

Question number	Answer	Mark
1(b)	**Award marks as indicated.** **Award one mark for all correct labels.**	**(6)**

Mia
Income statement for the year ended 31 December 2019

	$	$	
Revenue		210 000	**(1)**
Cost of sales			
Opening inventory	20 000		
Purchases	155 000		**(1)**
Goods for own use	(3 000)		**(1)**
Closing inventory	(25 000)		
		(147 000)	**(1)**
Gross profit		63 000	**(1of)**

Question number	Answer	Mark
1(c)	**Award marks as indicated.** **Award one mark for all correct labels.**	**(5)**

Mia
Statement of financial Position at 31 December 2019

	$	
Equity		
Equity at 1 January	68 400	
Additional equity	10 000	**(1)**
Profit for the year	21 000	**(1)**
Drawings	(18 150)	**(1)**
Total equity	81 250	**(1of)**

Type MS · Income statement from incomplete records

Answer 3 of 5 · Question 1 part b · 6 marks

2020 JAN · Paper 02 · extract 2 of 2 · find part b in this mark scheme extract

Question number	Answer	Mark
1(d)	**Award 1 mark for each correct answer up to a maximum of 2 marks.** Physical deterioration/ wear and tear/usage/rust/erosion/rot and decay **(1)** Economic reasons/obsolescence **(1)** Passage of time/time factor **(1)** Depletion **(1)**	**(2)**

Question number	Answer	Mark
1(e)	**Award 1 mark for each correct answer up to a maximum of 2 marks.** Accruals **(1)** Prudence **(1)** Consistency **(1)**	**(2)**

Question number	Answer	Mark
1(f) (i)	**Award 1 mark for each correct answer.**	**(2)**

Ratio	Formula
current (working capital)	Current assets / Current liabilities **(1)**
liquid (acid test)	Current assets – inventory / Current liabilities **(1)**

Question number	Answer	Mark
1(f) (ii)	**Award 1 mark for a general statement regarding the change in liquidity over the year. Further 3 marks for discussion on both ratios and the final 1 mark for a conclusion.** **Sample answer:** The liquidity of the business has declined **(1)** over the year which is evidenced by the reduction in both ratios. The current ratio indicates that the business can pay its short-term debts **(1).** However, the acid test ratio indicates that the business will struggle to pay its short-term debts from its liquid assets **(1)** which is due to the business holding too much inventory **(1)**. In order to improve liquidity, the business needs to convert inventory into cash quicker to improve the bank balance **(1)**.	**(5)**

(Total for Question 1 = 25 marks)

Type MS · Income statement from incomplete records

Answer 4 of 5 · Question 1 part a · 10 marks

2022 JUN · Paper 02 · extract 1 of 3 · find part a in this mark scheme extract

1(a)

Award marks as indicat

Sajjan Income statement for the year ended 30 April 2022		
	$	**$**
Revenue / Sales 165 200 **(1) or** 216 900 **(2)**		216 900 **(2)**
Cost of sales		
Purchases 104 200 **(1) or** 146 700 **(2)**	146 700 **(2)**	
Closing inventory	(36 000)	
		(110 700)
Gross profit		106 200 **(1of)**
Expenses		
Office expenses	18 975	
Motor expenses	5 000	
Rent and rates	13 200 **(1)**	
Wages and salaries	31 000 **(1)**	
Provision for irrecoverable debts	2 585 **(1)**	
Depreciation - motor vehicle	2 000 **(1)**	
		(72 760)
Profit for the year		33 440 **(1)**

(10)

Type MS · Income statement from incomplete records

Answer 4 of 5 · Question 1 part a · 10 marks

2022 JUN · Paper 02 · extract 2 of 3 · find part a in this mark scheme extract

<table>
<tr><th>Question number</th><th>Answer</th><th>Mark</th></tr>
<tr><td>1(b)</td><td>Award marks as indicated.

<table>
<tr><th colspan="3">Sajjan
Statement of financial position at 30 April 2022</th></tr>
<tr><td>Assets</td><td>$</td><td><b>$</td></tr>
<tr><td>Non-current assets</td><td></td><td></td></tr>
<tr><td>Motor vehicle</td><td></td><td>38 000 (1)</td></tr>
<tr><td>Current assets</td><td></td><td></td></tr>
<tr><td>Inventory</td><td></td><td>36 000</td></tr>
<tr><td>Trade receivables</td><td>51 700</td><td></td></tr>
<tr><td>Provision for irrecoverable debts</td><td>2 585</td><td></td></tr>
<tr><td></td><td></td><td>49 115 (1)</td></tr>
<tr><td>Other receivables</td><td></td><td>1 400</td></tr>
<tr><td></td><td></td><td>86 515 (1)</td></tr>
<tr><td>Total assets</td><td></td><td>124 515 (1of)</td></tr>
<tr><td>Equity and liabilities</td><td></td><td></td></tr>
<tr><td>Equity</td><td></td><td></td></tr>
<tr><td>Capital introduced</td><td>75 000</td><td></td></tr>
<tr><td>Profit for the year</td><td>33 440 (1of)</td><td></td></tr>
<tr><td>Drawings</td><td>(31 750) (1)</td><td></td></tr>
<tr><td>Total equity</td><td></td><td>76 690 (1of)</td></tr>
<tr><td>Current liabilities</td><td></td><td></td></tr>
<tr><td>Trade payables</td><td></td><td>42 500</td></tr>
<tr><td>Other payables</td><td></td><td>2 100</td></tr>
<tr><td>Bank overdraft</td><td></td><td>3 225 (1)</td></tr>
<tr><td></td><td></td><td>47 825 (1)</td></tr>
<tr><td>Total equity and liabilities</td><td></td><td>124 515 (1of)</td></tr>
</table>
</td><td>(10)</td></tr>
</table>

Type MS · Income statement from incomplete records

Answer 4 of 5 · Question 1 part a · 10 marks

2022 JUN · Paper 02 · extract 3 of 3 · find part a in this mark scheme extract

Question number	Answer	Mark
1(c)(i)	**Award 1 mark for explaining the concept plus marks as indicated for development.** **Sample answer** Prudence concept states that profits and assets should not be overstated and losses and liabilities should not be understated**(1)**. Maintaining a provision for irrecoverable debts ensures that the profit for the year is not overstated **(1)** and trade receivables are not overstated **(1)**.	**(3)**

Question number	Answer	Mark
1(c)(ii)	**Award 1 mark for explaining the concept plus marks as indicated for development.** **Sample answer** Accruals concept states that revenue of the accounting period should be matched against the costs of the same period whether paid or not **(1)**. Maintaining a provision for irrecoverable debts ensures that the amount of sales which are unlikely to be paid are regarded as an expense in the year of sale **(1).**	**(2)**

(Total for Question 1 = 25 marks)

Type MS · Income statement from incomplete records

Answer 5 of 5 · Question 1 part b · 15 marks

2023 JUN · Paper 02 (regional R) · extract 1 of 3 · find part b in this mark scheme extract

1(a)

Award marks as indicated.

$248 780 **(5)W**

W

	$	
Customer receipts	234 800	**(1)**
Discount allowed	3 740	**(1)**
Closing balance	41 790	**(1)**
Opening balance	(31 550)	**(1)**
Credit sales	248 780	**(1of)**

Alternative presentation

Details	$	Details	$
Balance b/d	31 550 **(1)**	Cash book/ Discount allowed	3 740 **(1)**
Sales day book / Credit sales	248 780 **(1of)**	Cash book	234 800 **(1)**
		Balance c/d	41 790
	280 330		280 330
Balance b/d	41 790 **(1)**		

(5)

Type MS · Income statement from incomplete records

Answer 5 of 5 · Question 1 part b · 15 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 3 · find part b in this mark scheme extract

Question Number	Answer	Mark
1(b)	**Award marks as indicated.**	**(15)**

Tim

Income statement for the year ended 30 April 2023

	$	$
Revenue		248 780 **(1of)**
Cost of sales		
Opening inventory	27 280	
Purchases	139 000 **(1)**	
Goods for own use	(3 950) **(1)**	
Carriage inwards	1 385 **(1)**	
	163 715	
Closing inventory	(20 130) **(1fb)**	(143 585) **(1)**
Gross profit		105 195 **(1of)**
Expenses		
Discount allowed	3 740 **(1)**	
General expenses	68 350 **(1)**	
Advertising	1 865 **(1)**	
Carriage outwards	1 090 **(1)**	
Wages	5 850 **(1)**	
Depreciation - equipment	17 160 **(1)**	98 055 **(1)**
Profit for the year		7 140 **(1of)**

Type MS · Income statement from incomplete records

Answer 5 of 5 · Question 1 part b · 15 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 3 · find part b in this mark scheme extract

Question Number	Answer	Mark
1(c)	**Award 1 mark for identification of correct concept. Award up to 2 marks for development.** **Sample answer** The adjustment was made in compliance with the business entity concept **(1).** This states that the business is treated as separate from the owner **(1).** Therefore, this adjustment is necessary to avoid understating profits **(1).** **Accept any other appropriate responses.**	**(3)**

Question Number	Answer	Mark
1(d)	**Award 1 mark for identification and 1 mark for development.** **Sample answer** Once Tim has selected a method for depreciating a non-current asset, this should be used consistently **(1).** This will allow comparison of results from year to year **(1).** **Accept any other appropriate responses.**	**(2)**

TOTAL FOR QUESTION 1 = 25 MARKS